Blessed G/Michael Catholic General Secondary School.

1st Semester English mid- exam one for grade 12 **Oct. 2018 E.C**

Name Hanna Atalew **Sec.** ____ **No.** ____ **Time allotted 40'**

Hyperinflation

You like money, right? Most people do. But what is it really worth? Usually, it will buy the goods and services that you expect. But sometimes it's worth less than the paper that it's printed on. I know that sounds hard to believe, but it's happened before.

During World War I, the French and the Germans fought one another fiercely. The war exacted a tremendous cost on both sides. Millions died. Billions of dollars were spent. The French paid for their efforts by taxing their citizens. But the Germans borrowed money to pay for the war. As the war raged on and the Germans borrowed more and more money, the value of their currency dropped.

In those days, the Germans called their money Marks. When World War I started in 1914, a US Dollar was worth around four German Marks. In 1919, after the war ended, a US Dollar was worth about nine German Marks. That means that Germans needed to spend twice as much money to buy the same items after the war. This is called inflation. Since people usually don't start earning twice as much money out of nowhere, it can be a real problem.

While 100% inflation over five years sounds pretty bad, things got much worse after the war. The countries that fought against Germany were upset with them. The French were perhaps most upset. Much of the fighting took place in France, and the country was ravaged. Since France and her allies won the war, they got to set the terms of surrender. France wanted billions of dollars each year. They demanded payments in foreign money, like the US Dollar, not in German Marks.

It was early 1921 by the time these agreements were made. One US Dollar could buy 60 German Marks. Then the Germans started making payments. Things soon spiraled out of control.

The Germans made these payments by printing money. They would trade the money that they printed for foreign currency. But as they printed more and more, the money was worth less and less. In November of 1921, one US Dollar was worth 330 Marks. A year later, one US Dollar was worth 800 German Marks.

The German government grew desperate. They began to trade Marks for foreign money at any rate. This only made things worse. By November of 1923, one US Dollar could buy 4,210,500,000,000 Marks. That is not a typo. The number is 4 trillion. Their money was devalued so fast that German workers had to go to the store right after getting paid. If they waited until the day's end, their money would be worthless. Basic items like stamps and loaves of bread cost billions of Marks. Germans had to figure their expenses in thousands of billions. That made it tough to get through the day if you lacked strong math skills. Some burned the old bills to provide heat. The Marks' value as a fuel had increased beyond its value as a currency.

That the German economy ever recovered is something of a miracle, but it did recover. They created a new currency called the Retenmark. Unlike the old Marks, the new Retenmark was backed by land and gold. This means the currency could be traded for gold or land at a fixed rate. This also meant that the government could only print as much money as they had land and gold to back it. That turned out to be a good thing. By December of 1923, the Retenmark was the official currency. The Germans cut 12 zeros from the prices of their products and it was business as usual. Though they still had a lot of issues to work out, the money was stable. That made life a lot more livable. So while you are out chasing after money, remember that money is little more than a promise, and that promises can be broken.

Source: https://www.ereadingworksheets.com

I: Answer the questions that are given below according to the above passage.

D 1. Which is not a reason why the German Mark lost value?

A. The Germans borrowed money to pay for World War I.✓

B. The Germans had to make payments with foreign money.✓

C. The French demanded large payments.✓

D. The French lost the war.

A 2. Which best defines the word inflation as it is used in the third paragraph?

A. When the value of a currency drops✓

B. To increase the size of a balloon by blowing air into it✗

C. When the same amount of money purchases more than in the past✗

D. When the pictures on the money change✗

C 3. Which best expresses the main idea of the second paragraph?

A. Germany and France fought against one another in World War I.✗

B. Many people died in World War I on all sides.✗

C. The German Mark lost value because of borrowing.✓

D. The French were wrong to increase taxes during war time.

B 4. Which happened first?

A. The German Mark was replaced with the Retenmark✗

B. The US Dollar was worth nine German Marks✗

C. The Germans began making war payments to France✗

D. German Marks were burned to provide heat.✗

D 5. Which statement would the author most likely agree with?

A. Inflation affects governments, not people.✗

B. The best way to pay for a long war is to borrow money.✗

C. Living in Germany during 1923 would be fun and exciting.✗

D. It is important for a nation to have a stable currency.✓

B 6. According to the text, how did the German government respond to France's demands for war payments?

A. The Germans made cuts and managed their resources wisely to meet payments.
B. The Germans printed a bunch of money and traded it for foreign currency.
C. The Germans raised taxes on their citizens and used the tax money to make payments.
D. The Germans began selling luxury cars to foreign nations to raise the money.

C 7. How was the Retenmark different from the paper Mark?

A. It was printed under the close supervision of the US Government.
B. It came before the paper Mark and was printed on silver plates.
C. It was backed by land and gold and could not be endlessly printed.
D. It was used to purchase land and gold and could not buy consumer goods.

A 8. Which happened last?

A. The Germans cut 12 zeroes from the prices of their products.
B. The Germans lost World War I.
C. The prices of goods skyrocketed into the billions.
D. The French demanded large payments from the Germans.

A 9. Which best defines the meaning of the word ravaged as used in the fourth paragraph?

A. Severely damaged
B. Very angry
C. Overflowing with joy
D. Beautifully colored with vegetation

C 10. Which title would best express the main idea of this text?

A. World War I: A Costly Fight for All of Those Involved
B. Inflation: How It Works and How to Prevent It
C. Can I Borrow a Trillion? Inflation in Germany After World War I
D. Money Around the World: A Comparison of the Value of Money

II: Choose the best answer for the following grammatical and writing questions accordingly.

BA 11. The tea was so hot that it burnt my lips while trying to sip it.

The adverb clause of result/ consequence used in the above sentence is _____

A. the tea was so hot
B. it burnt my lips
C. so hot that
D. while trying to sip it

D 12. I got really badly sunburnt on the beach yesterday because I forgot my sun-cream.

I wish I _____ my sun-cream yesterday.

A. had forgotten
B. didn't forget
C. forgot
D. hadn't forgotten

B 13. I'm having a wonderful time in Los Angeles. The weather is _____ and drier as in England.

A. hottest
B. hotter
C. hot
D. such hot

C 14. I don't blame you for _____ to go to that boring meeting.

A. wanting
B. to want
C. not wanting
D. being wanted

B 15. Which sentence is not correct?

A. We are younger than the rest of the class.

B. It is the larger house I've lived in.

C. Which of these houses is the most expensive?

D. You've got to admit she's much slimmer than you!

B 16. I wish you _____ so late. I'm tired of always waiting for you!

A. wouldn't always have arrived C. don't always arrive

B. wouldn't always arrive D. hadn't always arrived

B 17. The manager let Jerry _____ early as she had a doctor's appointment.

A. to go B. go C. going D. to gone

B 18. Doesn't it _____ you as strange that it's almost the end of June and it's not raining?

A. hit B. occur C. strike D. touch

B 19. English can be weird. It can be understood through tough thorough thought, _____.

A. despite B. though C. whereas D. although

A 20. You need to find a more user-friendly name _____ people can access it more quickly.

A. so that B. for C. in order to D. on the aim of

D 21. Yesterday was snowy _____

A. in spite of the snowy weather. C. but sunny.

B. when they saw the snow. D. ,and we bought new snow tyres.

A 22. He wishes he hadn't alerted the police. He regrets _____ the police.

A. alerting B. to alert C. to be alerted D. being alerted

B 23. Don't wait to be confident in English. Use English until _____ shows up.

A. confidential B. confidence C. confident D. confidentiality

B 24. In a formal letter writing, the address of the addressee should be written:

A. under the closing, C. under the date.

B. under the recipient name. D. above the signature.

C 25. Which sentence is fragmented?

A. Watching the game on T.V. was exciting. C. An idea that goes back to ancient Greece.

B. He should have paid off that bill long ago. D. We studied hard for two hours without stopping.

B 26. Rearrange the following sentences to make a paragraph.

A. Perhaps this is because they don't know the benefit of doing so.

B. Many of the diseases could be prevented by boiling the water to kill the germs in it.

C. Water born disease claim many lives in poor countries.

D. But, many people don't follow this advice.

E. This is because the water they drink is contaminated.

CEBDA

A. CBEAD B. CEBDA C. DBCAE D. CADBE

English Answer Sheet G. 12 **Time allotted: 40'**

Name Hanna Ayalew Sec. 12th C No. 24.

1. D
2. A
3. C
4. B
5. D
6. B
7. C
8. A
9. A
10. C
11. B
12. D
13. B
14. C
15. B
16. B
17. B
18. B
19. B
20. A
21. D
22. A
23. B
24. B
25. C
26. B

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